

SoFi Technologies, Inc.

Revenue Raised, Profit Guide Held: Reinvestment Is the Right Call, But the Stock Needs the Proof

SOFI, NasdaqGS

NEUTRAL

Price (20 Aug 2026): **\$17.92**

Price Target (Dec-27): **\$19.50**

INVESTMENT THESIS

We resume coverage of SoFi at Neutral with a Dec-27 target of \$19.50, ~9% above the \$17.92 close of 20 August. The debate is no longer whether SoFi can grow: Q2'26 adjusted net revenue of \$1.206bn rose 40% YoY, members grew 35% to 15.8m and originations 69% to \$14.8bn. The debate is whether that growth converts. Management raised FY26 adjusted revenue guidance to \$4.75-4.85bn from ~\$4.655bn while holding adjusted EBITDA at ~\$1.6bn and EPS at ~\$0.60, and the shares fell ~9%. CFO Chris Lapointe was explicit: "there are just too many large attractive growth areas for us to invest versus adding even more profitability." We take him at his word - but it is the second straight cycle in which revenue moved up and the earnings anchor did not.

The charter is the real asset: \$45.5bn of deposits (+\$5.3bn QoQ) at a 5.98% NIM is a funding cost no non-bank lender matches. Against that sit a Technology Platform down 23% YoY, economically hollow crypto revenue, and an unresolved Muddy Waters overhang with 14.77% of shares short. At 2.44x tangible book and ~30x FY26E adjusted EPS, SOFI is priced above the balance-sheet lenders and below the growth fintechs - the valuation of a business the market cannot yet classify. We think that is fair, and we wait for the conversion evidence.

- Growth is not the issue; earnings translation is. Two revenue raises, an unchanged \$0.60 EPS anchor.
- Deposit-funded charter is the durable edge: \$45.5bn deposits, 5.98% NIM, \$14.8bn quarterly originations.
- Valuation sits between a bank and a fintech and is rewarded by neither; Street is Hold, 14.8% short interest.

COMPANY OVERVIEW

SoFi runs a one-stop US digital financial services app across lending, banking, investing and payments, in three segments: Lending (\$724.8m of Q2'26 net revenue, +63% YoY), Financial Services (\$466.3m, +29%) and Technology Platform (\$84.5m, -23% YoY) - the Galileo/Technisys stack now branded SoFi Tech Solutions. FY25 contribution margins were 55%, 51% and 32%.

The differentiator is SoFi Bank, N.A., a nationally chartered bank acquired via Golden Pacific in January 2022 and OCC-regulated under a Fed-supervised holding company. That charter funds the balance sheet - \$45.5bn of deposits at 30 June, versus \$37.5bn at FY25 - and cross-sell is working: 51% of Q2 new products went to existing members, versus 43% in Q1.

Akul Veauli

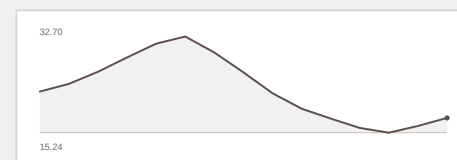
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PRICE PERFORMANCE



Indicative 12-month price path (\$); endpoints reflect the 52-week range of \$14.88-\$32.73 and the \$17.92 close of 20 Aug 2026.

COMPANY DATA

Shares O/S (mm)	1,290
Market Cap (\$bn)	23.1
Enterprise Value (\$bn)	23.2
52-Week Range	\$14.88 - \$32.73
52-Week Price Change	-21.2%
Avg. Daily Volume (20d, mm)	63.3
Free Float	~98%
Short Interest (% of S/O)	14.77%
Beta (5Y)	2.20
P/E (TTM, GAAP)	37.7x
Forward P/E (NTM)	24.3x
P/B P/TBV	2.09x 2.44x
TBVPS (30 Jun 2026)	\$7.34
Dividend Yield	None
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$mm, except EPS)	FY24A	FY25A	FY26E	FY27E
Adj. net revenue	2,606	3,591	4,800	6,131
% growth	26%	38%	34%	26%
Adj. EBITDA	667	1,054	1,600	-
margin	25.6%	29.4%	33%	-
Adj. EPS	\$0.39	\$0.39	\$0.60	\$0.83
P/E	-	-	29.9x	21.6x
Deposits (\$bn)	26.0	37.5	-	-
TBVPS	\$4.47	\$7.01	-	-

FY24A/FY25A per company disclosure (FY24/FY25 EPS shown on a GAAP diluted basis; FY24A adj. net revenue grew 26% YoY per the Q4'24 earnings release). FY26E is the midpoint of company guidance of \$4.75-4.85bn adj. net revenue, ~\$1.6bn adj. EBITDA and ~\$0.60 adj. EPS. FY27E revenue is Street consensus (\$6,131mm, 20 analysts per public aggregator data); FY27E EPS of \$0.83 is published Street consensus (27 analysts). FY27E adj. EBITDA consensus is not published by free data providers and is omitted ("") rather than estimated. FY26E/FY27E Deposits and TBVPS are not tracked by public consensus aggregators and are omitted ("").

Q2 2026 RESULTS AND GUIDANCE

Q2'26 (reported 29 July) was a record on essentially every top-line measure. GAAP net revenue of \$1.219bn rose 43% YoY and adjusted net revenue of \$1.206bn rose 40%. Adjusted EBITDA of \$357.8m was up 44% at a 30% margin (31% in Q1), GAAP net income of \$156.6m rose 61%, and diluted EPS was \$0.12 versus \$0.08 a year ago. Note that adjusted EPS carried a stated ~\$0.05 drag from a higher-than-expected tax rate - on a \$0.12 quarter, that is a swing factor of more than 40% and a reminder that the quarterly EPS line is not yet a stable signal. First-half adjusted net revenue was \$2.293bn (+41%) with GAAP net income of \$323.3m (+92%).

The operating detail was strong. Originations of \$14.8bn grew 69% YoY - personal loans \$10.7bn (+54%), student \$2.7bn (+170%), home \$1.4bn (+74%). Deposits reached \$45.5bn, up \$5.3bn in the quarter against \$2.7bn of growth in Q1, at a 5.98% NIM. TBV per share reached \$7.34 from \$4.72 a year ago, +55%. The Loan Platform Business - the capital-light channel that refers third-party volume - delivered \$3.1bn of originations and \$143m of revenue, and was extended during the quarter into small business and home equity loans, on top of the >\$3.6bn of new agreements signed in March 2026 and >\$10bn of commitments secured during 2025.

The guidance is where the print turned. FY26 adjusted net revenue was raised to \$4.75-4.85bn (+32-35%) from ~\$4.655bn, while adjusted EBITDA (~\$1.6bn, 33-34% margin), adjusted net income (~\$825m) and adjusted EPS (~\$0.60) were all left unchanged; management also framed 2H26 adjusted EBITDA growth at ~26% versus 1H26. The stock fell ~9% to ~\$15.24, having already been down ~31% over the preceding six months. We are sympathetic to the logic - reinvesting an incremental \$150-200m of revenue into member acquisition in a franchise compounding members at 35% is defensible capital allocation - but the market is being asked to underwrite a \$0.60 EPS number that has now survived two revenue raises without moving, and it is discounting accordingly.

Two other items shape the quarter's quality. The Technology Platform declined 23% YoY (after -27% in Q1) on the transition of a single large, unnamed client - a concentration exposure that directly undermines the argument that Galileo and Technisys deserve a technology multiple, though the segment did grow 13% sequentially and has been relaunched as SoFi Tech Solutions. And crypto, while strategically important, is not yet an earnings contributor: Q2'26 crypto transaction revenue of \$134.3m was almost entirely offset by \$133.1m of transaction costs, leaving ~\$1.2m of net revenue (Q1'26: \$121.6m of revenue against \$120.7m of costs, ~\$0.85m net) because SoFi acts as principal. It inflates headline revenue growth without touching earnings. Separately, SoFiUSD reached roughly \$300m in circulation with a Mastercard settlement partnership, but the GENIUS Act will require migration to a separately licensed or regulated entity - a live, unquantified workstream.

FINANCIAL SUMMARY

SoFi Technologies, Inc. -- Summary Financials

\$ in millions, except per-share data	FY24A	FY25A	FY26E	FY27E
GAAP net revenue	2,675	3,613	4,876	6,131
Adjusted net revenue	2,606	3,591	4,800	6,131
% growth	26%	38%	34%	26%
Adjusted EBITDA	667	1,054	1,600	-
Adj. EBITDA margin	25.6%	29.4%	33-34%	-
GAAP net income	499	481	815	1,146
Adjusted net income	227	481	825	-
Diluted EPS	\$0.39	\$0.39	\$0.60	\$0.83
FY24A/FY25A GAAP; FY26E/FY27E adjusted				
Deposits, period end (\$bn)	26.0	37.5	-	-
Total originations (\$bn)	23.2	36.4	-	-
Tangible book value (\$bn)	4.9	8.9	-	-
TBV per share	\$4.47	\$7.01	-	-
Memo: EV / adj. net revenue	-	-	4.8x	3.8x

Source: Company disclosure and guidance; Street consensus (public aggregator data, S&P Global Market Intelligence/TipRanks via stockanalysis.com, simplywall.st, wallstreetzen.com); Akul Veauli Securities LLC. FY24A GAAP net income of \$498.7m and adjusted net income of \$227.2m are per the original Q4'24 earnings release (SEC EDGAR); FY25A adjusted net income of \$481.3m is per the Q4'25 earnings release. FY26E reflects the midpoint of guidance raised on 29 July 2026; FY26E/FY27E GAAP net revenue and net income are Street consensus. FY27E adjusted net revenue and EPS (\$6,131mm / \$0.83) are published Street consensus. Multiples computed on the \$17.92 close of 20 August 2026 and an enterprise value of \$23.19bn. "-" indicates the figure is not tracked by public consensus aggregators (deposits, originations, tangible book value and TBV/share are not forecast items in free data sources) or, for FY27E adjusted EBITDA/net income and the Memo: P/E and EV/EBITDA lines removed from this table, was not obtainable from an unpaywalled source.

VALUATION AND PRICE TARGET

Our \$19.50 Dec-27 target is the equal-weighted average of three mechanical anchors, and embeds no re-rating in either direction. (1) Forward earnings: applying the stock's own current NTM P/E of 24.3x - already a midpoint between the bank and fintech tapes - to a derived FY27E EPS midpoint of \$0.765 gives \$18.59 (22x: \$16.83; 28x: \$21.42). (2) Tangible book: TBVPS has compounded from \$7.01 at Dec-25 to \$7.34 at Jun-26, a ~\$0.66/yr run-rate implying ~\$8.00 in twelve months; holding the current 2.44x P/TBV constant gives \$19.52 (2.0x: \$16.00; 2.9x: \$23.20). (3) Consensus anchor: \$20.15, the cluster of the two largest current samples (\$20.02 across 24 analysts, \$20.23 across 15). The simple average is \$19.42, rounded to \$19.50 - implied return of +8.8% with no dividend, which maps to Neutral under our >15% / <0% Overweight / Underweight thresholds. At target, SOFI would trade on 25.5x FY27E EPS, 2.44x forward TBV and ~3.9x EV/FY27E revenue.

The peer read-through explains the rating better than the arithmetic does. SOFI at 2.09x book and 24.3x forward sits between ALLY (0.97x, 7.1x) and LendingClub (1.45x, 10.7x) on one side and HOOD (9.02x, 40.2x) on the other. The most instructive comparison is Nu Holdings, structurally the closest analogue as a profitable deposit-funded digital bank: NU trades at a lower forward P/E (14.8x) on a higher P/B (5.18x) with a far superior net margin (~42.7% versus SoFi's ~15% TTM). SoFi out-grows all four - 41% adjusted revenue growth in 1H26 - but converts the worst, and conversion is precisely what the market is pricing. Street consensus is Hold with an average target of \$20.02-20.23, recent actions spanning KBW's \$16 Sell and Truist's \$19 Hold to Citi at \$30 and DBS at \$28, with Piper Sandler initiating Buy at \$22 on 17 August. Morgan Stanley and BofA both moved lower during 2026.

We would flag two limitations on the estimates behind this target. Published Street consensus FY27E EPS is \$0.83 (27 analysts per public aggregator data), modestly above the \$0.74-0.79 analyst-derived range originally used to build the forward-earnings anchor of this target - on the stock's own 24.3x NTM multiple, \$0.83 would point to ~\$20.20 rather than \$18.59, a modest upward skew we have not otherwise built into the equal-weighted average above. Discrete FY28E consensus EPS remains unavailable from an unpaywalled source. Separately, the company's own FY28 targets (~\$7.89bn adjusted net revenue, \$1.02-1.12 EPS) sit materially above even the now-sourced FY27E consensus path; on identical multiples, delivery would support a target well above \$19.50. The gap between the consensus path and management's own target is, in effect, the size of the credibility discount currently embedded in the shares.

UPSIDE RISKS

Risks that would drive the shares above our price target include, but are not limited to, the following:

- EBITDA guidance proves conservative. Management held ~\$1.6bn while guiding to ~26% adjusted EBITDA growth in 2H26 versus 1H26. If reinvestment spend lands below budget, FY26 adjusted EPS beats the \$0.60 anchor and the entire forward-P/E derivation resets upward.
- The FY28 company target implies a materially higher earnings base. SoFi's own \$1.02-1.12 FY28 EPS target sits well above the derived consensus path of ~\$0.91; delivery would justify a target well above \$19.50 on unchanged multiples.
- The Loan Platform Business is a genuine capital-light re-rating lever. \$143m of Q2 revenue on \$3.1bn of third-party volume, >\$3.6bn of new agreements signed in March 2026, and extension into small business and home equity lending. Fee revenue at scale supports a fintech rather than a bank multiple.
- Deposit franchise compounding. \$45.5bn of deposits, up \$5.3bn in a single quarter, at a 5.98% NIM is the cheapest funding advantage in consumer fintech and the engine behind 69% YoY origination growth.
- Technology Platform inflection. The segment grew 13% QoQ in Q2 after two quarters of YoY decline driven by one client transition; lapping that comparison in 2027 turns a -23% drag into a growth contributor.
- Short squeeze mechanics. 190.8m shares short, 14.77% of shares outstanding, against ~63m average daily volume in a 2.20-beta name creates asymmetric upside on any positive surprise.
- Sentiment is already washed out. The stock is -21% over 52 weeks and ~45% below its \$32.73 high, with only 8 of 24 covering analysts positive - a low bar for re-rating.
- Crypto and stablecoin optionality. First nationally chartered US bank offering consumer crypto trading; SoFiUSD at ~\$300m circulation with a Mastercard settlement partnership. Because crypto margin is near-zero today, any pricing improvement is purely incremental.

DOWNSIDE RISKS

Risks that would drive the shares below our price target include, but are not limited to, the following:

- Reinvestment with no committed margin path. The core bear case: revenue guidance up, profit guidance flat. Until incremental revenue is shown to drop through, the stock is valued on a \$0.60 EPS number that has not moved across two guidance cycles and two revenue raises.
- Crypto revenue is economically hollow. \$134.3m of Q2'26 crypto transaction revenue produced only ~\$1.2m of net revenue after \$133.1m of transaction costs. It flatters reported growth without contributing to earnings - a legitimate quality-of-revenue concern.
- Technology Platform concentration. One unnamed client's departure drove -27% and -23% YoY segment declines. Revenue concentration in the Galileo/Technisys business is a structural vulnerability and weakens the technology-multiple argument.
- Muddy Waters allegations remain unresolved. The 17 March 2026 report alleging "financial engineering" has not been adjudicated. SoFi called it "factually inaccurate and misleading" and flagged potential legal action, and Muddy Waters disclosed it would cover most or all of its short immediately - but the overhang persists and 14.77% short interest suggests a meaningful cohort still holds the view.
- Credit cycle exposure. Personal loans dominate the asset base (\$10.7bn originated in Q2 alone). Consumer credit deterioration would hit both net interest income and the fair-value marks on held-for-sale loans. Q2'26 personal loan annualized net charge-offs were 3.7% excluding delinquent loan sales (2.62% including them), a ~70bp improvement from Q1, with the on-balance-sheet 90-day delinquency rate at 40bp (down 7bp QoQ); student loan annualized net charge-offs were 61bp (down 4bp QoQ) with a 90-day delinquency rate of 11bp (up 1bp QoQ).
- Fair-value accounting sensitivity. SoFi carries loans at fair value; the adjusted-versus-GAAP revenue gap and the durability of gain-on-sale marks are a recurring bear talking point and the substance of the short thesis.
- Regulatory: GENIUS Act stablecoin migration. SoFiUSD must move to a separately licensed or regulated entity - cost, execution and timing are unquantified. Broader OCC/Fed supervision of a fast-growing national charter adds capital and compliance risk; SoFi Bank's CET1 ratio was 18.7% and total capital ratio 18.8% at 30 June 2026 (both well above the 7.0%/10.5% regulatory minimums), so the near-term constraint is more compliance execution than capital adequacy.
- Tax rate volatility. Q2'26 adjusted EPS absorbed a stated ~\$0.05 hit from a higher-than-expected tax rate - a 40%+ swing factor on a \$0.12 quarter.
- Valuation offers no cushion. 2.44x TBV and ~30x FY26E EPS against ALLY at 0.97x book and 7.1x forward. If SoFi is ultimately valued as a bank rather than a fintech, a de-rating to ~1.5x TBV implies roughly \$11.
- Volatility, float and competition. Beta of 2.20, a \$14.88-\$32.73 52-week range and a ~9% single-day drop on a revenue beat make position sizing a material risk. Management called the lending competitive environment "challenging" on the Q2 call, with Nu, Chime, Robinhood and incumbent banks all contesting the same deposit and consumer-credit pools.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. I am a real person and the sole author of this report. I am not a registered or certified research analyst: any "AC" analyst-certification mark previously shown next to my name was self-applied for layout purposes, is not a real credential, and has been removed. "Akul Veauli Securities LLC" is an invented firm name and is not a real or registered entity.

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Estimate sourcing: FY2026 figures reflect company guidance raised on 29 July 2026. FY2027 adjusted net revenue (\$6,131mm) and earnings per share (\$0.83) reflect published Street consensus from public data aggregators (S&P Global Market Intelligence/TipRanks, simplywall.st, wallstreetzen.com); the Valuation section separately notes an earlier analyst-derived \$0.74-0.79 EPS range used in building the price-target anchor, ahead of this consensus figure becoming available. Deposits, total originations, tangible book value and TBV/share for FY2026E/FY2027E, and FY2027E adjusted EBITDA, are not tracked by free public consensus sources and are shown as "-" rather than estimated. Q2 2026 net charge-off rates (personal loans 3.7% annualized ex. loan sales; student loans 61bp), delinquency rates (90-day: personal loans 40bp, student loans 11bp) and regulatory capital ratios at 30 June 2026 (CET1 18.7%, Tier 1 18.7%, total capital 18.8%, Tier 1 leverage 16.5%) were sourced from the Q2 2026 earnings call transcript and investor presentation.

The price performance chart is an indicative representation constructed to reflect the reported 52-week range and the closing price of 20 August 2026. It is not a tick-accurate price series and should not be read as real market data.

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RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied twelve-month total return from the derived price target: Overweight above +15%, Underweight below 0%, Neutral otherwise. SOFI's implied return of +8.8% maps to Neutral. These are generic sell-side rating conventions, not a registered firm's published rating scale.

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